

6-7 How MNEs and Host Governments Bargain

MNEs react to various policies by bargaining with host governments. The outcome of MNE-host government relationship, namely, the scale and scope of FDI in a host country, is a function of the relative

bargaining power (Ability to extract favorable outcome from negotiations due to one party's strengths.)

of both sides—the ability to extract favorable outcome from negotiations due to one party's strengths. MNEs typically prefer to minimize the intervention from host governments and maximize the incentives provided by host governments. Host governments usually want to ensure a certain degree of control and minimize the incentives provided to MNEs.

Sometimes, host governments “must coerce or cajole the multinationals into undertaking roles that they would otherwise abdicate.” However, host governments have to “induce, rather than command,” because MNEs have options elsewhere. Different countries, in effect, are competing with each other for precious FDI dollars.

Shown in [Figure 6.9](#), FDI is not a zero-sum game. The negotiations are characterized by the “three Cs”: common interests, conflicting interests, and compromises. The upshot is that despite conflicts, the interests of both sides may converge on an outcome that makes each side better off.

Figure 6.9

How MNEs Negotiate with Host Governments: The Three Cs

Typically, FDI bargaining is not one round only. After the initial FDI entry, both sides may continue to exercise bargaining power. A well-known phenomenon is the **obsolescing bargain** (The deal struck by MNEs and host governments, which change their requirements after the initial FDI entry.)

, referring to the deal struck by MNEs and host governments, which change their requirements *after* the initial FDI entry. It typically unfolds in three rounds:

- In Round One, the MNE and the government negotiate a deal. The MNE usually is not willing to enter in the absence of some government assurance of property rights and incentives (such as tax holidays).
- In Round Two, the MNE enters and, if all goes well, earns profits that may become visible.
- In Round Three, the government, often pressured by domestic political groups, may demand renegotiations of the deal that seems to yield “excessive” profits to the foreign firm (which, of course, regards these as “fair” and “normal” profits). The previous deal, thus, becomes obsolete. The government’s tactics include removing incentives, demanding more profits and taxes, and even **expropriation** ((1) Government’s confiscation of foreign assets; (2) Activities that enrich controlling shareholders at the expense of minority shareholders.) (confiscating foreign assets).

At this time, the MNE has already invested substantial sums of resources (called **sunk costs** (Cost that a firm has to endure even when its investment turns out to be unsatisfactory.)) and often has to accommodate some new demands. Otherwise, it may face expropriation or exit at a huge loss. Not surprisingly, MNEs do not appreciate the risk associated with such obsolescing bargains. Unfortunately, recent actions in Argentina, Bolivia, Ecuador, and Venezuela suggest that obsolescing bargains have not necessarily become obsolete (see the next section for some details).